DUG — Decentralized Underwriting Group

Insurance, Legal Exposure & Trust Roadmap

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Executive Summary

DUG operates at the intersection of professional advice, marketplace transactions, and community-generated content. Each of these surfaces carries distinct legal and insurance exposure that activates at different stages of growth. This document maps those stages, identifies the critical trigger events that require coverage or policy updates, and recommends proactive language to address the objections of every stakeholder — from Chief Underwriting Officers to individual homeowners — before they become barriers to adoption.

The headline: cyber liability is needed immediately. Platform E&O must be in place before the first paid marketplace transaction closes. Everything else can be phased in as volume and counterparty complexity grow.

Part 1 — Insurance Roadmap by Stage

PHASE 0 | Pre-Launch / Beta (NOW)

Trigger: User accounts exist. PII is being collected. The platform is live.

Cyber Liability — IMMEDIATE

The moment you store a user's name, email, license number, or any submission data, you have a data breach exposure. A starter cyber policy ($1M limit) runs $800–2,500/yr at this stage. Carriers to approach: Coalition, Cowbell, At-Bay (all have startup-friendly programs and fast bind). Do not wait for the marketplace to go live.

General Liability — NOW

Basic slip-and-fall/operational coverage. Likely already in place or trivially obtainable as part of a BOP. $1M occurrence / $2M aggregate is standard.

Media / Content Liability — BEFORE COMMUNITY LAUNCH

Community content — discussions, peer analysis, public critiques of submissions — creates defamation, copyright, and IP exposure. Media liability or a content platform endorsement on your GL policy addresses this. Typical addition: $500–1,500/yr.

Not yet needed: Platform / Tech E&O, D&O, Employment Practices

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PHASE 1 | First Paid Marketplace Transaction

Trigger: Any money changes hands between a requester and an underwriter via DUG.

Platform / Tech E&O — BEFORE THIS EVENT — NON-NEGOTIABLE

This is the most important insurance trigger in the DUG lifecycle. The moment an underwriter is paid through your platform for professional analysis, DUG is in the chain of a potential E&O claim. Even if the individual underwriter carries their own E&O, plaintiffs name everyone in the chain. Platform E&O (also sold as Tech E&O or Marketplace Professional Liability) covers DUG for facilitating professional services. Budget: $3,000–8,000/yr at early stage. Carriers: Hiscox, Markel, CNA, Beazley all write this class.

Underwriter E&O Attestation — AT MARKETPLACE ACTIVATION

Require every marketplace-approved underwriter to attest they carry active E&O coverage before their first paid engagement. Store the attestation date and carrier name. Do not require certificate upload upfront — attestation is sufficient and dramatically reduces friction while preserving the contractual hook if a claim arises.

Not yet needed: D&O, Employment Practices, Umbrella

PHASE 2 | Consumer Users Go Live (Insureds / Homeowners)

Trigger: Individual consumers — not business entities — can post requests on the platform.

Consumer Protection Review — BEFORE CONSUMER LAUNCH

Individual consumers trigger state consumer protection statutes (UDAP laws), CCPA/state privacy requirements, and potential NAIC oversight depending on how the service is characterized. Engage insurance counsel in your state of domicile before consumer access goes live. Budget for a one-time legal review: $3,000–8,000.

Increased Cyber Limits — AT CONSUMER SCALE

Consumer PII — home addresses, renewal documents, claim history — is higher-value data than B2B contact info. Increase your cyber limit to $2M–5M and add a breach response services endorsement (credit monitoring, PR, forensics). Marginal cost at this stage: $1,500–4,000/yr incremental.

Not yet needed: D&O, Employment Practices

PHASE 3 | Institutional Scale (50+ Underwriters, $250K+ GMV)

Trigger: Volume and counterparty complexity reach institutional levels.

D&O — Directors & Officers — AT FIRST OUTSIDE INVESTOR OR BOARD MEMBER

D&O is not about the marketplace — it's about protecting founders and board members from shareholder or investor claims. If you have outside capital, you need D&O. If you're bootstrapped with no board, it can wait. Side A (personal assets of individuals) is the priority. Budget: $5,000–15,000/yr depending on structure.

Employment Practices Liability (EPLI) — AT FIRST W-2 EMPLOYEE

Wrongful termination, discrimination, harassment. Obtainable as a BOP rider for small headcounts. Budget: $1,500–4,000/yr.

Commercial Umbrella / Excess — AT $500K+ IN ANNUAL TRANSACTIONS

Stack $5M in umbrella over your GL, cyber, and E&O primary layers. At this stage you have named institutional counterparties who will require evidence of limits. Budget: $3,000–8,000/yr.

Part 2 — Stakeholder Objection Map & Recommended Responses

DUG will face skepticism from every direction. The goal is not to win every argument — it is to answer every question before it is asked, in the copy, in the terms, and in the product itself. Below is every meaningful objection by audience, with the recommended platform response.

Chief Underwriting Officer (Carrier / MGA)

"These freelancers could opine on our submissions and create coverage dispute ammunition."

DUG members provide advisory analysis only — they never bind, never issue, and never represent a carrier or MGA. Our Terms of Service explicitly prohibit members from referencing their DUG analysis in coverage litigation. Advisory opinions are not coverage determinations. The same CUO employs consultants who review submissions; this is no different.

"I have no idea who these people are. What are their credentials?"

Every marketplace-approved underwriter on DUG has either (a) uploaded verifiable credentials — license numbers, designations, prior employer — or (b) demonstrated performance on our benchmarked Dojo case library, scored against a cohort of their peers. Their public profile shows both. You can filter for CPCU, AU, ASLI, and line-specific experience before you engage anyone.

"What if they're working for my competitors?"

DUG requires underwriters to disclose active carrier employment or exclusive MGA relationships. Marketplace members working within a carrier are not eligible to review submissions in their own line without disclosure. Conflict disclosure is mandatory at the engagement level, not just at signup.

"Is this a licensed insurance activity in my state?"

Advisory underwriting analysis — without binding authority — is not the practice of insurance in any U.S. jurisdiction we have reviewed. Members are not acting as agents, brokers, or adjusters. We recommend all carriers consult their own counsel before using DUG on admitted lines in heavily regulated states (CA, NY, FL). DUG will maintain a publicly available regulatory posture document updated quarterly.

Broker / Agent

"This undermines my client relationship. They'll use DUG to second-guess me."

Clients are going to Google their renewal anyway. They're going to call a friend in risk management. DUG gives them a structured, accountable channel to get a second opinion — which is far better for everyone than an uninformed argument in your office. Brokers who are doing good work have nothing to fear from scrutiny. Brokers who are not are going to lose those clients regardless.

"Could a DUG opinion be used against me in an E&O claim?"

A DUG advisory analysis is an independent professional opinion, not a binding finding. It carries no more legal weight than any other third-party consultant's memo. If your placement was sound, a

DUG opinion confirming it is validation. If it wasn't, the exposure existed before DUG entered the picture.

"Brokers should be on DUG too — will you offer a broker tier?"

Yes. Brokers can use DUG's pre-broker consult job type to bring in independent underwriting perspective before they go to market — strengthening their submission and their client relationship simultaneously. DUG works with brokers, not against them.

Risk Manager / Commercial Insured

"Who's accountable if I restructure my coverage based on this and it goes wrong?"

Every DUG underwriter carries their own E&O insurance, attested at marketplace activation. DUG also carries platform E&O. Your engagement agreement with the underwriter specifies scope, reliance limitations, and professional standard. You are engaging a credentialed professional, not reading a blog post. The accountability chain is clear and contractually documented.

"Will my broker find out I used this?"

Not from us. DUG does not share engagement history with brokers, carriers, or any third party. Your request and the resulting analysis are confidential between you and the underwriter you engaged.

"Are these people actually licensed?"

DUG marketplace members are credentialed professionals — retired or independent underwriters, former carrier staff, and experienced consultants. Credentials are verified at onboarding and displayed publicly on their profile. You can and should review their background before engaging.

Individual Consumer (Homeowner / Personal Lines Insured)

"What happens to my data? My renewal, my home address, my claim history?"

Your submission data is visible only to the underwriter(s) you engage. It is never sold, never shared with carriers or insurers without your consent, and never used to train AI models. You can delete your account and all associated data at any time. DUG is not an insurer, not a data broker, and not an affiliate of any carrier.

"Will my insurer find out I questioned my renewal?"

No. DUG has no relationship with your insurer and shares no data with them. Asking an independent professional to review your renewal is no different from calling a lawyer to read a contract — it's your right, and it stays between you and the professional you hired.

"I've never heard of this. How do I know it's legitimate?"

DUG underwriters are credentialed insurance professionals — the same people who priced your policy at a carrier, just no longer working for them. Their credentials, track record, and community reputation are public on their DUG profile. You can see exactly who you're hiring before you commit to anything.

Tech / AI Company (AI Benchmarking Requesters)

"Who owns the benchmarking data and the outputs? Can DUG use our model's results?"

You own your submission data and your model's outputs. DUG does not claim any IP rights to benchmarking inputs or outputs. Aggregate anonymized performance data — e.g., 'human cohort accuracy on commercial property' — may be used for platform analytics, but never in a way that identifies your model or your organization without your written consent.

"What if our benchmarking results are embarrassing? Will they be made public?"

Benchmarking engagements are confidential by default. Results are shared only with you unless you choose to publish them. DUG does not publish comparative model performance without explicit authorization from all parties.

Reinsurer

"Independent third-party review of cedant submissions creates information asymmetry."

Information asymmetry already exists — cedants choose what to submit and how to frame it. Independent underwriting analysis, done well, reduces information asymmetry by surfacing questions the cedant's submission didn't answer. DUG operates on the same side of that problem as the reinsurer.

"Could DUG analysis be used in treaty disputes?"

DUG advisory analysis is not a claims determination and carries no binding authority. Its admissibility in any dispute is subject to the same rules as any third-party expert opinion. DUG takes no position in treaty matters and does not provide litigation support services.

Part 3 — Platform Copy Principles ("Hard Way / Right Way" Doctrine)

Every piece of trust-related copy on the platform should reflect three commitments: we did this before we had to, we built this for the long term, and we are transparent about what we are and what we are not. The following principles guide all copy on legal, trust, and compliance pages.

Say what you are not, not just what you are.

Insurers will be suspicious. Say explicitly: DUG is not a carrier, not an MGA, not a surplus lines broker, and not a claims handler. This is not boilerplate — it is the opening line of every trust page on the platform.

Claim the accountability before someone demands it.

Don't wait for a claim to announce that underwriters carry E&O, that DUG carries platform liability, and that every engagement has a documented scope of work. Put this on the homepage, on the marketplace landing page, and in the post-job confirmation email.

Make the regulatory posture public and dated.

Publish a one-page regulatory posture statement — updated quarterly — that says: here is how we have characterized our service, here is the legal basis, here is the date we last reviewed it. This signals institutional seriousness to CUOs and institutional buyers before they ask.

Write for the skeptic, not the convert.

Every trust page should be written as if the reader has just asked the hardest version of the question. Not 'is my data safe?' but 'prove to me you have never sold user data and never will.' Answer that version.

Show the receipts.

Cyber policy in place: say so and name the carrier class (not the limit). E&O attestation required: say so and explain what happens if an underwriter lapses. Credential verification process: describe it step by step. Vague assurances are worse than silence.

This document is a working internal roadmap and does not constitute legal or insurance advice. DUG should engage licensed insurance counsel and a commercial lines broker experienced in marketplace and professional liability before binding any coverage.